

Did the 'Early harvest list' of commodity trade under ECFA promote the development of manufacturing industry in Taiwan Province? An empirical analysis based on staggered DID model

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Highlights

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This article uses empirical research methods (DID) to verify the impact of ECFA on industrial development in Taiwan province.

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This article confirms that the implementation of the list has a higher than average promoting effect on the growth of Taiwan's advantageous industries' output value.

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This study found that the implementation of the list improved the output value of capital intensive industries in Taiwan's manufacturing industry.

Abstract

This study assesses the impact of the ECFA's Early Harvest List on Taiwan's manufacturing industry. The findings indicate that (1) implementing the "Early Harvest List" positively affects Taiwan Province's overall industrial output value. (2) It also promotes above-average growth in output value for advantaged industries in Taiwan Province. (3) Furthermore, it particularly benefits capital-intensive industries within Taiwan's manufacturing sector.

These results demonstrate that the ECFA is a policy that genuinely benefits Taiwanese compatriots.

Section snippets

Introduction and literature review

Since the signing of the Cross-Strait Economic Cooperation Framework Agreement (ECFA) on June 29, 2010, cross-Strait economic and trade relations have entered a new era. The ECFA serves as an institutional arrangement to promote cross-Strait economic and social integration and plays a crucial role in stabilizing these relations. One significant aspect of the ECFA is the Early Harvest List (“Early Harvest List”) for Trade in Goods, which has successfully facilitated the expansion of cross-Strait

Theoretical analysis and Hypothesis proposed

The Early Harvest List of the Cross-Strait Joint Comprehensive Economic Cooperation Agreement, known as ECFA, plays a crucial role in cross-Strait trade. However, there is limited research on how ECFA promotes industrial development. According to Krugman, by eliminating tariff and non-tariff barriers and reducing institutional obstacles, the cost and price reduction of early harvesting products enhances their market competitiveness and share. It is also possible to upgrade the value chain

Model and variable setting

Since the effective year of the signed agreement of ECFA is in 2010, but among them, the arrangement of reducing tariffs to 0 % is implemented according to the size of import duty rates that are not exactly the same for each industry in 2009. This work utilized a staggered DID model by referencing Beck et al. (2010), which is shown in Eq. (1):

Eq. (1) where i ($= 1, 2, \dots, 26$) denotes the industry and t ($= 2005, 2004, \dots, 2020$) denotes the

Benchmark analysis

Estimated with Eq. (1), the estimation results are reported in Table 2 model 1 to model 4, the coefficient of DID is significant with the addition of control variables. Models 5 and 6 are re-estimated using the PSM-DID method to correct for sample selectivity bias and re-estimate Eq. (1): using the PSM-DID method,⁶

Conclusions

This paper uses empirical research to analyze Taiwan's manufacturing output before and after the signing of the “Early Harvest List”. It establishes a staggered DID model and draws the following conclusions: (1) The implementation of the “Early Harvest List” has a positive impact on Taiwan's overall industrial output. Specifically, the “List of Taiwan Province” shows a significantly stronger effect compared to the “List of Mainland China”. The implementation of the “Early Harvest List” has a

Declaration of Competing Interest

The authors declare that they have no known competing financial interests or personal relationships that could have appeared to influence the work reported in this paper.

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